

complaint

Mrs N complains about Legal & General Insurance Limited's (L&G) decision to decline her home insurance claim for theft and to void (cancelled from the start) her policy. She also complains about the poor service she received.

background

Mrs N took out home insurance with L&G through a broker on a price comparison site. The policy started in December 2017. Both the policy and the property were in her sole name. No previous claims were disclosed during the sale of the policy. In February 2018 a brick was thrown through Mrs N's back door window. Mrs N boarded up the window but the following day noticed the house had been broken into and some items stolen. Mrs N made a claim under her policy. She authorised Mr B to deal with the claim on her behalf.

On checking the claims database, L&G noticed that Mrs N had also insured two other properties. At property A (where Mr B resides) there'd been a claim in May 2017 for accidental damage to a laptop (made to L&G, the insurer at the time). The claim value was £1,299. At property B there'd been an escape of water claim that was subsequently withdrawn.

L&G told Mrs N it wasn't going to pay her theft claim because it was going to void her policy because she didn't tell it about the claim when taking the policy out. Mrs N told L&G that she'd never made a claim. She said the laptop claim was nothing to do with her and property A had nothing to do with her either. She said the laptop claim related to Mr B who didn't live with her. As a result, L&G decided not to void the policy and to continue with the theft claim.

About a week later there was a phone call between Mr B (acting on Mrs N's behalf) and L&G in which he referred to Mrs N as his wife. L&G decided to decline the claim and void the policy.

Mrs N complained to this service about L&G's decision. She said that the laptop claim was made by her partner under a policy for a different property. As the theft claim had been made under a policy which was in her sole name there were no prior claims she needed to disclose.

Our adjudicator investigated Mrs N's complaint and recommended that it was upheld. He said that L&G had agreed to proceed with the claim so should now pay it, together with interest at this service's usual rates and compensation of £200 for the distress and inconvenience its poor service caused Mrs N.

Mrs N accepted our adjudicator's findings but L&G said it didn't. It said the avoidance had been correct and it asked for the complaint to be referred for an ombudsman's decision.

The complaint was passed to me and I issued a provisional decision to say I wasn't minded to uphold it. I made the following provisional findings:

"my provisional findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Although I appreciate it will come as a disappointment to Mrs N, I don't think her complaint should be upheld. I'll explain why.

When this complaint was referred to me I asked L&G to provide me with some additional information which it has now done. This included evidence which showed that Mrs N and Mr B had been joint policy holders for property A at the time of the claim for the damaged laptop. It also sent me recordings of phone calls it'd had with both Mrs N and Mr B. I have now listened to all of them.

I've seen a copy of the home insurance policy schedule for property A. Mrs N is named as a joint policyholder on the schedule along with Mr B. The schedule is for the policy year December 2016 to December 2017. The claim for accidental damage to the laptop was made under that policy in May 2017. The marital status of both policyholders is cited as 'married'. In a recent email to our adjudicator, Mrs N states that Mr B is her husband.

I think it's clear from the available evidence that a claim was made under a policy Mrs N was a joint policyholder on just 7 months before she took out the policy that is the subject of this complaint. It's also clear that at no time during the call I listened to between Mrs N and L&G on 15 February 2018 – during which there were numerous references to Mr B – did Mrs N refer to him as her husband. She only referred to him as the individual that she'd authorised to handle the claim on her behalf. The call handler at L&G says at one point during the call that it's strange that L&G had picked up a claim associated with a third party. But there's no mention from Mrs N in response to that statement that the third party is actually her husband nor that the claim was made under a policy she'd held jointly with him.

As a consequence of this call L&G reversed its decision to decline the claim, void the policy and return the premiums. That decision was reversed again a week later when it became apparent to L&G that Mr B and Mrs N were husband and wife and that the claim for the laptop had been made against a policy they'd held jointly.

L&G's underwriters have said they wouldn't have issued the policy if the claim had been disclosed. I've seen a note from the underwriter that its acceptance criteria for the broker that sold the policy was that there'd been no claims within the previous 12 months. So I don't doubt that L&G wouldn't have issued the policy if it'd known about the laptop claim. I can see (from the statement of fact associated with the 2016-2017 policy) that the question L&G asks its customers is "Have you, or anyone who normally lives with you, suffered any loss, damage or liability anywhere during the last five years, whether insured or not?"

But it wasn't L&G that asked Mrs N about previous claims when she took the policy out in December 2017, it was the broker. I've checked its statement of facts and it says there, "About claims, incidents and losses (whether insured or not) in the last five years – No previous claims disclosed". So Mrs N was asked a question about whether she'd had any claims in the last five years but she failed to mention the laptop claim from 7 months earlier under the joint policy she held with her husband.

When taking a policy out a consumer must take 'reasonable care' not to make a misrepresentation. If an insurer discovers that a misrepresentation has been made, and it wants to cancel the policy and refuse any claims, it needs to show that it wouldn't have entered into the contract at all. For the reasons I gave above, I think that L&G has been able to show this.

If I were going to uphold this complaint I'd have to be satisfied that L&G had treated Mrs N unfairly by voiding her policy and declining her claim. Unfortunately for Mrs N, I don't think it has. Mrs N was asked about claims she'd had in the last five years and she didn't disclose

the claim for the damaged laptop that had been made only 7 months before. L&G has shown that if it'd known about that claim it wouldn't have entered into the contract at all. It's cancelled the policy back to its start date which means there is no cover at the time the theft claim occurred. So it follows that I also don't think it's unreasonably declined Mrs N's theft claim. As I don't think that L&G has treated Mrs N unfairly I don't think it should pay her any compensation. I do note that L&G has said it has returned Mrs N's premiums which, in the circumstances, I think is fair.

L&G replied to my provisional decision to say it had nothing further to add. Mrs N hasn't provided a response.

The complaint was returned to me for a final decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

As no further comments or new evidence has been received, the conclusion I reached in my provisional decision remains unchanged. For the reasons I gave in my provisional decision, I don't think that L&G has treated Mrs N unfairly by voiding her policy and declining her claim. Although I appreciate it will come as a disappointment to Mrs N, I'm not upholding her complaint.

my final decision

My final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs N to accept or reject my decision before 26 May 2019.

Claire Woollerson
ombudsman